

ValuJack — Strategy Reference

Six investment strategies, one card per page

Last updated: 9 May 2026

This document is the methodology reference for the six strategies underpinning ValuJack's card system. Each page covers one strategy: its origin, core idea, canonical methodology, published track record, the five metrics that matter most for ValuJack scoring, and what the strategy explicitly is not.

Sources: original books and papers cited per strategy. Track-record numbers come from each strategy author's published research where available. Where independent academic replications give different numbers, both are noted. ValuJack does not claim these returns will repeat — they are reference points for understanding what each methodology was designed to deliver.

All six strategies coexist in ValuJack because they capture different market inefficiencies. Reading the differences between them — both in how they pick stocks and what they explicitly reject — is the foundation of the ValuJack methodology.

KING — Dividend Aristocrats

The compounding-quality strategy: companies that have raised dividends for 25+ consecutive years.

Origin

Index sponsor: Standard & Poor's, Dividend Aristocrats methodology. The S&P 500 Dividend Aristocrats Index was launched in May 2005 and codified the long-standing 25-year dividend-increase criterion that S&P had used since the 1980s.

Spiritual ancestor: The strategy traces to early dividend-focused investors such as Geraldine Weiss (Investment Quality Trends, 1966) and the broader Graham-style emphasis on shareholder yield as a discipline against management empire-building.

Core idea

A company that has raised its dividend every year for 25 consecutive years has done so through recessions, oil shocks, financial crises, and pandemics. The discipline imposed by paying — and growing — a dividend forces management to allocate capital efficiently and avoid empire-building. The dividend itself is a real cash return that compounds. Volatility is generally lower because dividend-payers tilt toward mature, cash-generative businesses with durable competitive moats.

Methodology (canonical)

- Member of the S&P 500 (or equivalent national large-cap index).
- Has increased its regular dividend in each of the last 25 consecutive years.
- Float-adjusted market cap of at least \$3B and adequate trading liquidity.
- Equal-weighted portfolio, rebalanced quarterly. The intent is breadth, not concentration.

Track record

S&P's own published research shows the Dividend Aristocrats index has historically delivered higher risk-adjusted returns than the broad S&P 500, with notably better performance during market drawdowns. The index outperformance is generally attributed to the quality factor rather than dividend yield in isolation — high yield alone (e.g. 'dividend trap' stocks) has not historically outperformed.

Five metrics that matter most for ValuJack

Metric	Why it matters	CSV source
Dividend Yield	Cash yield to the investor today. Floor of 1.0–2.0% to filter out token dividends.	Div. Yield - Current
Dividend Stability 5y/10y	Confirms 25-year track record is not a recent restoration. The aristocrat status itself.	Dividend - Stable 5y / 10y
Payout Ratio (3y avg)	Sweet spot 30–70%. Below 20% = company is not committed; above 80% = unsustainable.	Div. Payout - Average 3y
FCF Margin	Dividends are paid from cash, not earnings. Positive and rising FCF margin = dividend safety.	FCF margin - Current
Earnings Stability 5y	Stable earnings ground the dividend. Volatile earnings predict eventual dividend cuts.	Earnings - Stable 5y

What KING is NOT

- Not a high-yield strategy. Yield is necessary but not sufficient — payout ratio and stability matter more.
- Not a value strategy in the classic Graham sense. Aristocrats often trade at quality premiums, not deep discounts.
- Not a growth strategy. Earnings growth is welcome, but the methodology accepts low-single-digit growth provided dividends are sustained.

QUEEN — Magic Formula

The systematic value strategy: good businesses at bargain prices, ranked mechanically.

Origin

Book: The Little Book That Beats the Market (2005), updated as The Little Book That Still Beats the Market (2010).

Author: Joel Greenblatt — founder of Gotham Capital, adjunct professor at Columbia Business School. Greenblatt wrote the book to explain the formula in plain language to his children.

Core idea

Combine two simple measures into a single ranking: how good a business is (return on capital), and how cheap it is (earnings yield). Buy the highest-combined-rank stocks, hold for one year, then rebalance. The thesis: investors over-pay for popular stocks and under-pay for unpopular ones; quantitative rules force discipline against that bias. The genius is in the simplicity — Greenblatt deliberately removed the qualitative judgement that lets emotion creep in.

Methodology (canonical)

- Universe: companies above ~\$50–100M market cap, excluding financials and utilities (different accounting bases).
- Rank all stocks by Return on Capital (ROC, Greenblatt-defined as EBIT / Tangible Capital Employed).
- Separately rank all stocks by Earnings Yield (EBIT / Enterprise Value).
- Sum the two ranks. Buy the 20–30 stocks with the lowest combined rank (best on both dimensions).
- Hold for one year (with tax-loss timing in taxable accounts), then rebalance.

Track record

Greenblatt's published backtest: from 1988 to 2004, the top-30 Magic Formula stocks (drawn from the largest 2,500 US companies) returned approximately 30.8% annually versus 12.3% for the S&P 500.

Independent academic and practitioner backtests have generally confirmed positive alpha but at meaningfully lower magnitudes than Greenblatt's original numbers. Validea, Old School Value, and Reasonable Deviations have all reported persistent outperformance vs the market over multi-decade windows, with the gap narrowing post-publication — likely because systematic value strategies became more crowded after 2005.

Five metrics that matter most for ValuJack

Metric	Why it matters	CSV source
ROIC (Current)	Return on capital — the 'good business' half. $\geq 10\%$ is the floor; $\geq 20\%$ is excellent.	ROIC - Current
EV/EBITDA (inverse = Earnings Yield)	The 'cheap price' half. EV/EBITDA below 10 maps to high earnings yield.	EV/EBITDA - Current
Gross Margin (1y)	Quality confirmation. High and stable gross margins indicate a real moat, not accounting noise.	Gross marg - Average 1y
Earnings Stability 5y	Magic Formula values consistent operating performance — not one-year ROIC spikes.	Earnings - Stable 5y
Debt-Equity	Greenblatt explicitly excludes financials; for non-financials, low leverage protects the thesis.	Debt-Equity - Current

What QUEEN is NOT

- Not deep value. Magic Formula buys profitable, returning-on-capital companies — not Graham net-nets or distressed turnarounds.
- Not growth. EBIT growth is incidental; ROC and earnings yield are the only ranks.
- Not a quality-only strategy. Without the cheapness leg, ranking on ROC alone would just buy quality at any price.

ACE — Piotroski F-Score

The improving-fundamentals strategy: the strongest companies among cheap, neglected stocks.

Origin

Paper: Value Investing: The Use of Historical Financial Statement Information to Separate Winners from Losers (2000), Journal of Accounting Research, vol. 38, pp 1–41.

Author: Joseph D. Piotroski — at the time of publication, Assistant Professor at the University of Chicago Booth School of Business; now at Stanford Graduate School of Business. The paper won the American Accounting Association Best Dissertation Award (Financial Reporting Section).

Core idea

Most value stocks (high book-to-market) are cheap for a reason — they are weakening businesses. But within the value universe, financial-statement analysis can systematically separate the genuinely strengthening companies from the deteriorating ones. Piotroski's insight: the cheapest stocks are heterogeneous, and a small set of accounting signals — applied mechanically — picks out the ones with improving operations, balance sheets, and efficiency. Those go up. The deteriorating ones don't.

Methodology — the F-Score (9 binary tests)

Each test scores 1 if passed, 0 if failed. Total score 0–9.

- Profitability (4 tests): Net income > 0 · Operating cash flow > 0 · Current ROA > prior year · OCF > Net Income (earnings quality).
- Leverage / Liquidity (3 tests): Long-term debt-to-assets decreasing · Current ratio increasing · No new share issuance.
- Operating Efficiency (2 tests): Gross margin increasing · Asset turnover increasing.

Piotroski's empirical recipe: within the highest book-to-market quintile (the cheapest 20% of stocks), buy those scoring 8 or 9. Avoid those scoring 0 or 1.

Track record

Piotroski's published backtest (1976–1996): value stocks scoring 8–9 outperformed the value universe by 7.5% per year. Stocks scoring 0–1 underperformed by 8.3% per year. A long–short portfolio (high F-Score minus low F-Score within high B/M) produced approximately 23% annual return over the test period.

Subsequent academic replications (Banerjee & Deb 2017 in India; Hyde 2018 in the US, broader 1972–2010 window) have generally confirmed the result, though with somewhat smaller magnitudes after publication. The strategy works best in small and mid-caps where analyst coverage is thin.

Five metrics that matter most for ValuJack

Metric	Why it matters	CSV source
F-Score (Point)	The composite. ≥ 6 is solid, ≥ 7 is the Piotroski 'long' threshold. Below 4 is the 'short' bucket.	F-Score - Point
ROIC vs 5y average	Piotroski's improvement signal. Rising ROIC = real operating progress, not noise.	ROIC Current vs Average 5y
Gross Margin (1y)	Captures the operating-efficiency leg of F-Score. Improving margins = pricing power.	Gross marg - Average 1y
Debt-Equity	Captures the leverage/liquidity leg. Falling D/E = balance sheet strengthening.	Debt-Equity - Current
Earnings Growth 5y	Confirms the improvement is not a one-quarter accounting fluke.	Earnings g. - Growth 5y

What ACE is NOT

- Not pure value. Piotroski explicitly filters value stocks down to those showing operational improvement.
- Not momentum. The signals are accounting-based, not price-based.

- Not growth. A high-F-Score stock can have flat or negative earnings growth — the test is whether it is improving from where it was.

JACK — Minervini Momentum

The trend-leading strategy: buying market leaders making new highs out of consolidations.

Origin

Book: Trade Like a Stock Market Wizard: How to Achieve Super Performance in Stocks in Any Market (2013), McGraw-Hill. Codified the SEPA® methodology (Specific Entry Point Analysis).

Author: Mark Minervini — former winner of the U.S. Investing Championship (1997, +155% for the year in the verified \$1M+ stock division). Featured in Jack Schwager's Stock Market Wizards. Self-reported five-year average of 220% per year with only one losing quarter; verified through brokerage statements per the Championship rules.

Core idea

Stocks making sustained new highs from sound technical bases are not 'too expensive' — they are leaders. Studying every major stock-market winner since the 1950s reveals a repeatable pattern: tight consolidation, low-volume drift, then breakout on rising volume, supported by strong earnings and rising relative strength. Minervini buys the breakout, not the bottom. Cheap-looking stocks falling through their moving averages are explicitly avoided — falling knives, not bargains.

Methodology — the Trend Template

- Stock price > 150-day MA > 200-day MA (uptrend confirmed).
- 200-day MA trending up for at least one month.
- 50-day MA > 150-day MA > 200-day MA (proper alignment).
- Stock price > 50-day MA.
- Current price at least 30% above 52-week low.
- Current price within ~25% of 52-week high.
- Relative Strength rank ≥ 70 (top 30% of market by price strength).
- Confirmed earnings acceleration in recent quarters.

Entry: VCP (Volatility Contraction Pattern) — successive lower highs with diminishing volume — then a breakout. Risk management is non-negotiable: hard stops at 7–8% loss.

Track record

Minervini's track record is real but proprietary. The 1997 U.S. Investing Championship win (+155%) is verified and audited by the contest. Subsequent 220% average annual returns over five years are self-reported, supported by brokerage statements provided to Schwager. SEPA itself has not been independently academically backtested — it relies heavily on chart pattern recognition that is hard to systematize fully. However, the underlying factors (relative strength, earnings momentum, trend-following) have substantial academic support — Jegadeesh & Titman (1993), Asness (1994), Carhart (1997).

Five metrics that matter most for ValuJack

Metric	Why it matters	CSV source
RS Rank (0–100)	The single most important Minervini filter. ≥ 70 is the market-leader threshold; below that is not Jack.	RS Rank - L - 0-100
Price vs MA50	Trend confirmation. Below MA50 disqualifies — stock is no longer leading.	Price - Current vs MA - MA 50d
Earnings Growth 1y vs 5y	Acceleration test. 1y growth > 5y growth = momentum is current, not historical.	Earnings g. - Growth 1y vs 5y
1-month Performance	Confirms momentum has not just stalled. Positive recent action = thesis intact.	Performance - Perform. 1m
ROIC	Quality filter to avoid pump-and-dump momentum on bad businesses.	ROIC - Current

What JACK is NOT

- Not value. Buying low-P/E or below-fair-value stocks is the opposite of Minervini's approach.

- Not buy-and-hold. SEPA includes hard 7–8% stops; Minervini exits aggressively.
- Not contrarian. Jack buys what the crowd is buying — but earlier in the trend than most retail investors.

JOKER — CANSLIM Growth

The market-leader growth strategy: high-earnings-acceleration companies bought at proper technical entry points.

Origin

Book: How to Make Money in Stocks: A Winning System in Good Times and Bad (1988, multiple editions through 2009). Currently in 4th edition.

Author: William J. O'Neil — founder of Investor's Business Daily (IBD, 1984). Studied every major stock-market winner from the 1950s onward and identified seven recurring traits that preceded super-performance — codified as the CAN SLIM acronym.

Core idea

Big stock-market winners share a small set of common characteristics before they run. Earnings are accelerating quarter-over-quarter and year-over-year. Sales are growing. Something new is happening — a product, management, or industry shift. Supply (share count) is being reduced or institutional demand is rising. The stock is a sector leader by relative strength. The general market is in a confirmed uptrend. Combine these factors and the historical data shows outsized winners. CANSLIM is rules-based but explicitly looks at the market regime — buying any stock against a falling market is forbidden.

Methodology — the CAN SLIM acronym

- C — Current quarterly earnings up 25%+ year-over-year (acceleration preferred).
- A — Annual earnings growth 25%+ over last 3 years.
- N — New product, new management, new high — something fresh fueling the move.
- S — Supply & Demand — small/mid float preferred; rising volume on up days.
- L — Leader, not laggard — RS Rank in the top 20% of the market.
- I — Institutional sponsorship — increasing fund ownership, but not yet over-owned.
- M — Market direction — only buy in confirmed market uptrends.

Track record

The CANSLIM methodology has the longest practical track record of the strategies in ValuJack — IBD has published its application since 1984. Independent backtests of mechanical CANSLIM proxies (e.g. AAIL's CANSLIM model, the IBD 50 ETF) show outperformance vs the S&P 500 since 2003 of roughly 18% CAGR vs 9%, but with materially higher volatility and deeper drawdowns. The pure CANSLIM strategy depends heavily on the M (market direction) signal — when held mechanically without market-timing, returns are far less impressive. The strategy is most rigorously studied as a small-cap growth tilt with momentum overlay.

Five metrics that matter most for ValuJack

Metric	Why it matters	CSV source
Earnings Growth 1y	The 'C' — current earnings acceleration. CANSLIM's required floor is 25%+ recent growth.	Earnings g. - Growth 1y
Earnings Growth 5y	The 'A' — sustained annual growth. Confirms acceleration is not a one-quarter spike.	Earnings g. - Growth 5y
Revenue Growth 1y	Top-line confirmation. Earnings growth without revenue growth = engineering, not real demand.	Revenue g. - Growth 1y
RS Rank	The 'L' — Leader vs Laggard. Below market median disqualifies.	RS Rank - L - 0-100
ROIC	Quality filter — CANSLIM growth stocks should still earn returns above cost of capital.	ROIC - Current

What JOKER is NOT

- Not value. CANSLIM stocks typically trade at growth premiums; classic P/E filters would exclude most winners.
- Not pure momentum. Earnings acceleration and fundamental quality matter alongside technical leadership.

- Not market-neutral. The 'M' is mandatory — CANSLIM does not buy aggressive growth in falling markets.

TWO — Contrarian / Phoenix

The recovery-of-the-unloved strategy: financially sound companies trading at deep discounts due to negative sentiment.

Origin

Book: Contrarian Investment Strategies: The Next Generation (1998), reissued as Contrarian Investment Strategies — The Psychological Edge (2012). Successor to Dreman's earlier Psychology and the Stock Market (1977) and Contrarian Investment Strategy (1979).

Author: David Dreman — founder of Dreman Value Management; long-running Forbes columnist. Dreman built one of the largest contrarian-value funds in the U.S. during the 1980s–2000s.

Academic foundation: Lakonishok, Shleifer & Vishny, Contrarian Investment, Extrapolation, and Risk (Journal of Finance, 1994) — provided the rigorous backtest underpinning the contrarian-value premium. De Bondt & Thaler (1985, 1987) provided the behavioural-overreaction theory.

Core idea

Investors systematically and predictably overreact to bad news. Stocks that have fallen sharply on disappointing results, sector rotation, or general fear get priced as if the trouble will continue forever. But for fundamentally sound companies — strong balance sheets, cash flow intact, real businesses — sentiment eventually turns. The contrarian thesis: combining deep discounts with quality filters and early-recovery confirmation produces excess returns. The crucial discipline is distinguishing 'temporarily out of favour' from 'genuinely broken' — Dreman's whole framework is built on that line.

Methodology — Dreman's filter

- Stocks in the bottom 20% of the market on at least two of: P/E, P/B, P/CF, P/D ratios.
- Strong financial position: high current ratio, manageable debt-to-equity.
- Above-average dividend yield (sustainable, not desperate).
- High pre-tax profit margin and high return on equity.
- Earnings trend: not collapsing — 'value not value trap.'
- Patience: contrarian theses take 2–3 years on average to reverse.

Track record

Dreman's empirical claim, drawn from CRSP data 1970–1996: stocks in the bottom 20% by P/E delivered approximately 19% annual returns versus 15% for the market, with no greater risk on standard deviation. Lakonishok-Shleifer-Vishny (1994) confirmed that low-P/B value stocks outperformed high-P/B 'glamour' stocks by 10–11% per year over 1968–1989, and demonstrated that the excess return was not explained by traditional risk measures. The contrarian/value premium has been one of the most-studied and most-replicated factors in finance, though it has been weaker post-2007.

Five metrics that matter most for ValuJack

Metric	Why it matters	CSV source
F-Score (Point)	The 'value not trap' filter. Below 5 is a falling knife, not a Phoenix.	F-Score - Point
1-year Performance	The negative-sentiment criterion. Stock down 15%+ over a year confirms genuine drawdown.	Performance - Perform. 1y
Price vs MA20 + 1m Performance	Recovery beginning. Price above MA20 and positive 1m perf = 'bottom may be in.'	Price / MA - MA 20d + Perform. 1m
ROIC + Gross Margin	Quality confirmation. Real business with real returns, not a wreck.	ROIC + Gross marg
Debt-Equity	Survival filter. Contrarian theses fail when leverage forces a fire sale before recovery.	Debt-Equity - Current

What TWO is NOT

- Not deep distress investing. Phoenix is for fundamentally sound companies with negative sentiment, not bankruptcies or restructurings.
- Not momentum. The thesis requires the stock to be down. A rising stock is not a contrarian opportunity.
- Not pure low-P/E. Without quality filters, low-P/E selections become value traps. The combination of cheap + sound + recovering is what works.

How TWO differs from QUEEN

Queen and Two are both value strategies, but they answer different questions. Queen asks: 'Is this a good business at a fair price?' (any business profile is acceptable, as long as the ranking score is good). Two asks: 'Is this a good business that the market currently dislikes?' (negative recent performance is required — it is the precondition of the strategy). A company can be in the Queen pool with positive 1-year returns; a Two card requires the stock to actually be down.